

ANINDITO MUKHERJEE/GETTY IMAGES

IN A CRAWL Workers at a project site of the long-delayed Delhi-Mumbai Industrial Corridor near Dholera village in Gujarat

EXPERTS SAY THAT STATES ARE RESPONSIBLE FOR MUCH OF THE DELAY IN EXECUTION AND THE SLIPPAGE IN PAYMENTS FOR MAJOR PROJECTS FUNDED BY THE CENTRE

the end of 2020-21, indicating that the states' deficit was close to 3 per cent of the GDP.

In the first half of the current financial year, states borrowed Rs 80,000 crore less than what was targeted and the cash balance rose to Rs 20,000 crore. "The deficit in 2021-22 could again be close to 3 per cent of GDP, and borrowings Rs 1 lakh crore lower than budgeted," says Mishra.

Former Telangana chief secretary S.K. Joshi points to several factors behind the delays in implementation, and these vary from one project to another. "First, there's an absence of dialogue between the Union and state government representatives after the expense has been budgeted. Second, the pace at which those in Delhi and in the states pursue things differs vastly, often depending on the individuals in charge. The varying costs and inevitable escalation, after the cost has been worked out at the planning level, and the inability of the states to provide their own share—whatever be the quantum—also contribute to the lag in projects and implementation of centrally sponsored schemes." Besides, there are state-specific issues depending on the nature of the project or scheme which are often not factored in during the planning stage.

LOOPHOLES AND LESSONS

A Mumbai-based economist, requesting anonymity, says state governments always give a higher revised budget estimate, only to fall short of the targets. This was true even in the pre-Covid years. He argues that governments cannot cite the pandemic as an excuse to not spend. "Governments need to learn to adapt to the situation just as private firms have, and ensure that no big disruptions take place. Governments usually prepare for disaster recovery. But the pandemic seems to have exposed their vulnerability. When it comes to proper spending of taxpayers' money, they have been caught napping," he says.

"LOWER-THAN-BUDGETED DEFICITS (OF THE STATES) ARE MOSTLY DUE TO AN INABILITY TO SPEND, MADE WORSE BY LOCKDOWNS"

– NEELKANTH MISHRA

Co-head of Asia Pacific Strategy and India Equity Strategist, Credit Suisse



Others expect the government to catch up by the end of the financial year. Madan Sabnavis, chief economist, Bank of Baroda, says the shortfall in the Centre's expenditure has been most evident in areas like consumer affairs, fertilisers and fuel, where subsidies are involved. For instance, Rs 98,000 crore was earmarked in 2021-22 for the government's free food programme. "The food stocks may have already been supplied to FCI, but the accounting may be done at the end of the financial year. The same holds true for fertilisers. As long as the capex is not compromised, growth is not going to be impacted," says Sabnavis.

While slippages on the expenditure front happened in the previous years too, the pandemic has underscored the need for efficient use of the government machinery to extend relief and push projects that create jobs on a large scale. Going by RBI data, that doesn't seem to have happened in 2021-22. Governments, both at the Centre and in the states, have some hard lessons to learn from the pandemic and must execute their plans more efficiently if expenditure targets are to be met and the intended benefits are to reach people. ■

*(With **Amarnath K. Menon**)*